

led to a fall in the amount of money raised by companies from the primary market.

On the whole, 1996 was a tough year for making money. In addition to a slowing economy, the political uncertainty following the general elections in April-May further dampened the mood. The Congress party lost the elections, winning only 140 seats – its lowest tally ever. The BJP emerged the single largest party, with 161 seats, and was sworn into office. Within thirteen days, the Atal Bihari Vajpayee-led government quit as it failed to muster a simple majority to win the vote of confidence.

I had a fair idea of what FIIs were doing, thanks to data supplied by Mouse. But that was not of much help, as prices often moved counter to my calculations. On a couple of occasions, I made good money but promptly lost much more the following week.

‘It is time you both started building long-term portfolios for yourselves,’ GB told me and Dilip one afternoon after we were done for the day.

‘Speculation is a good way to build your initial capital, but you cannot make your retirement money through trading alone.’

‘Investment too is speculation after all, isn’t it? Only that your time frame is longer,’ I said.

GB grinned. ‘You are right, Lala. But the odds of making money are higher; you won’t be under pressure to cut your positions just because the price has moved against you by a few rupees. More often than not, long-term investments work out well,’ he said.

‘But this is turning out to be a terrible market, and it looks like things will only get worse. Does it make sense to buy now? Why not wait for some more time?’ Dilip asked.

‘Some rules in the market never change. And one of them is that nobody can ever catch the top or bottom. Besides, to make a good profit, you need to buy cheap. And when can you do that? Only when there is despair all around. Is this the best time to buy stocks for the long term? I really don’t know. Maybe the market could fall some more. But what is the probability of making a good profit by buying at these prices? I would say, quite high,’ GB replied.

I found merit in GB’s argument. But I was not good at understanding business models or reading balance sheets. Frankly speaking, I don’t think anybody could claim to be an expert in identifying potential winners. People took calculated bets and some of them paid off. I took GB’s advice